

Hon Hai (2317 TT)

Buy: Management continues to see strong operating leverage from AI business

- ◆ 2Q26 operating margin beat; management continues to see a solid margin outlook
- ◆ GPU server remains a key catalyst in 2027 with additional upside potential and value add from networking and ASIC
- ◆ Retain Buy; raise TP to TWD380 (from TWD330)

2Q26 results wrap: Hon Hai delivered a stronger-than-expected 2Q26, with Cloud Network Products accounting for over 51% of group revenue. Due to better operating leverage and well-controlled cost and expenses, the OPM of 3.8% came in 32bp/42bp above HSBCe/consensus. EPS of 4.24 beat HSBCe/consensus by 7%/4%.

Margin outlook improves on mix and operating leverage: Management remains upbeat on the outlook and expects the cloud segment to grow significantly QoQ in 3Q26, driven by the traditional high season and continued AI server momentum. Management expects AI server revenue to grow at a double-digit rate QoQ in 3Q26. The new Nvidia platform is scheduled to enter mass production in late 2026, while the company expects demand for GB300 to extend into 2027. Even though there's market concern about a potential margin dilution from VR200 due to higher full-rack pricing, management still expects its operating margin to exceed the 2025 level of 3.2% in mid-longer term, supported by vertical integration, automation, and better operating leverage on meaningful revenue growth. Overall, we expect the operating margin to be 3.4% in 2027 vs Bloomberg consensus of 3.3%.

ASIC and networking add another leg of AI growth: Beyond GPU servers, management highlighted encouraging progress in ASIC AI server projects and expects its market share to increase meaningfully. Notably, 1H26 ASIC revenue was already slightly above the full-year 2025 level. Most ASIC AI servers are currently under a consignment model, which lowers reported revenue but should support margins. Also, networking is also becoming a more meaningful growth driver, with management expecting CPO switches to enter mass production in 3Q26. CPO switches have started shipping for scale-out applications, with potential expansion into scale-up applications over the longer term. Meanwhile, Hon Hai expects 2026 capex to increase by more than 30% YoY, followed by further growth in 2027 as it expands capacity in Taiwan, the US, and Mexico. We believe the elevated investment, together with improving customer visibility, suggests management remains confident in AI infrastructure demand extending into 2027.

Retain Buy, raise TP to TWD380 (from TWD330): We raise 2026/2027e EPS by 9%/16% to reflect increasing contribution from multiple new projects kicking off in 2H26. Our new target price is based on an unchanged target PE of 16x applied to 2027e EPS of TWD24.06 (from TWD20.69). Our target PE is 2 SD above the trading average for 2017-19, when EPS was declining at a 9% CAGR, given we now forecast Hon Hai's EPS CAGR for 2025-27 to be 31%. Our new TP implies 41% upside, and we maintain our Buy rating.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Electronic Equipment & Instruments

Taiwan



MAINTAIN BUY

TARGET PRICE (TWD)

380.00

PREVIOUS TARGET (TWD)

330.00

SHARE PRICE (TWD)

270.00

(as of 12 Aug 2026)

UPSIDE/DOWNSIDE

+40.7%

MARKET DATA

Market cap (TWDm)	3,787,735	Free float	85%
Market cap (USDm)	117,471	BBG	2317 TT
3m ADTV (USDm)	596	RIC	2317.TW

FINANCIALS AND RATIOS (TWD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	13.66	17.89	24.06	31.14
HSBC EPS (prev)	13.66	16.42	20.69	25.98
Change (%)	0.0	9.0	16.3	19.9
Consensus EPS	14.78	17.76	21.69	24.59
PE (x)	19.8	15.1	11.2	8.7
Dividend yield (%)	2.7	3.5	4.7	6.1
EV/EBITDA (x)	8.4	6.5	6.1	5.2
ROE (%)	10.8	13.1	16.1	18.7

52-WEEK PRICE (TWD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Hon Hai

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (TWDm)				
Revenue	8,103,105	10,338,990	15,239,789	19,633,023
EBITDA	356,976	474,873	613,140	792,296
Depreciation & amortisation	-97,753	-98,658	-93,085	-122,121
Operating profit/EBIT	259,223	376,215	520,055	670,175
Net interest	-7,087	-12,754	-12,754	-12,754
PBT	293,445	376,484	510,301	660,421
HSBC PBT	293,445	376,484	510,301	660,421
Taxation	-78,410	-90,663	-122,472	-158,501
Net profit	189,354	248,057	333,533	431,651
HSBC net profit	189,354	248,057	333,533	431,651
Cash flow summary (TWDm)				
Cash flow from operations	226,852	112,803	-379,474	-31,584
Capex	-173,763	-120,000	-150,000	-150,000
Cash flow from investment	-304,689	-318,686	-343,858	-346,272
Dividends	-106,731	-99,814	-130,757	-175,814
Change in net debt	34,982	99,617	652,838	350,004
FCF equity	53,089	-7,197	-529,474	-181,584
Balance sheet summary (TWDm)				
Intangible fixed assets	39,697	39,697	39,697	39,697
Tangible fixed assets	543,393	564,735	621,650	649,529
Current assets	3,961,827	4,315,570	5,228,638	6,120,487
Cash & others	1,596,804	1,497,187	844,349	494,344
Total assets	5,104,672	5,472,362	6,434,952	7,347,286
Operating liabilities	1,887,382	2,106,829	2,866,644	3,523,141
Gross debt	1,246,526	1,246,526	1,246,526	1,246,526
Net debt	-350,277	-250,660	402,178	752,182
Shareholders' funds	1,826,107	1,974,350	2,177,125	2,432,962
Invested capital	1,060,731	1,315,985	2,178,992	2,792,228

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	18.1	27.6	47.4	28.8
EBITDA	23.7	33.0	29.1	29.2
Operating profit	29.2	45.1	38.2	28.9
PBT	38.5	28.3	35.5	29.4
HSBC EPS	24.0	31.0	34.5	29.4
Ratios (%)				
Revenue/IC (x)	8.0	8.7	8.7	7.9
ROIC	18.8	24.0	22.6	20.5
ROE	10.8	13.1	16.1	18.7
ROA	5.1	6.0	7.1	7.8
EBITDA margin	4.4	4.6	4.0	4.0
Operating profit margin	3.2	3.6	3.4	3.4
Net debt/equity	-17.3	-11.5	16.9	28.6
Net debt/EBITDA (x)	-1.0	-0.5	0.7	0.9
Per share data (TWD)				
EPS Rep (diluted)	13.66	17.89	24.06	31.14
HSBC EPS (diluted)	13.66	17.89	24.06	31.14
DPS	7.20	9.43	12.68	16.41
Book value	131.73	142.42	157.05	175.50

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	0.4	0.3	0.2	0.2
EV/EBITDA	8.4	6.5	6.1	5.2
EV/IC	2.8	2.4	1.7	1.5
PE*	19.8	15.1	11.2	8.7
PB	2.0	1.9	1.7	1.5
FCF yield (%)	1.4	-0.2	-14.0	-4.8
Dividend yield (%)	2.7	3.5	4.7	6.1

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	7
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	28.6
Social Indicators		Board members independence (%)	57.1
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (TWD)	270.00	Free float	85%
Target price (TWD)	380.00	Sector	Electronic Equipment
RIC (Equity)	2317.TW	Country/Region	Taiwan
Bloomberg (Equity)	2317 TT	Analyst	Carol Juan
Market cap (USDm)	117,471	Contact	+886 2 6631 2862

Price relative



Source: HSBC

Note: Priced at close of 12 Aug 2026

Financials

Exhibit 1. Hon Hai – 2Q26 results overview

(TWDm)	2Q26			Consensus	HSBCe	Difference	
	Actual	q-o-q	y-o-y			vs cons	vs HSBCe
Sales	2,525,894	19%	41%	2,403,855	2,364,517	5%	7%
Gross profit	154,533	18%	36%	145,313	143,626	6%	8%
Gross margin	6.1%	-6bps	-21bps	6.0%	6.1%	7bps	4bps
Op profit	94,803	25%	68%	80,157	81,132	18%	17%
Op margin	3.8%	18bps	60bps	3.3%	3.4%	42bps	32bps
Net profit	59,974	20%	35%	57,630	55,073	4%	9%
EPS (TWD)	4.24	18%	32%	4.07	3.97	4%	7%

Source: Company data, Bloomberg consensus, HSBC estimates

Exhibit 2. Hon Hai – estimate revisions

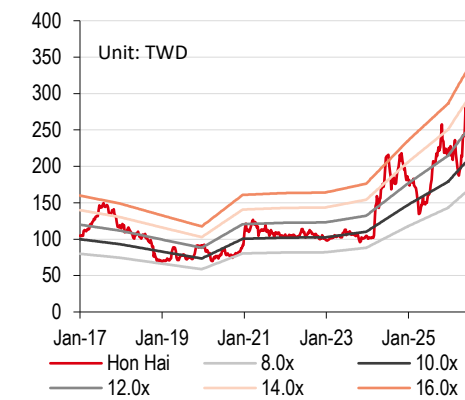
(TWDm)	New			Old			Change			Consensus			HSBCe vs. cons		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Sales	10,338,990	15,239,789	19,633,023	9,608,585	12,262,824	15,416,226	7.6%	24.3%	27.4%	10,335,465	12,797,231	14,849,763	0.0%	19.1%	32.2%
- y-o-y chg	27.6%	47.4%	28.8%	19%	28%	26%				27.55%	23.82%	16.04%			
Gross profit	630,864	878,608	1,127,491	590,646	754,836	945,053	6.8%	16.4%	19.3%	628,913	740,960	797,432	0.3%	18.6%	41.4%
- GM	6.1%	5.8%	5.7%	6.1%	6.2%	6.1%				6.1%	5.8%	5.4%			
Operating profit	376,215	520,055	670,175	337,378	439,059	547,986	11.5%	18.4%	22.3%	349,510	420,210	488,601	7.6%	23.8%	37.2%
- OPM	3.6%	3.4%	3.4%	3.5%	3.6%	3.6%				3.4%	3.3%	3.3%			
Net income	248,057	333,533	431,651	227,562	286,810	360,115	9.0%	16.3%	19.9%	244,212	295,795	339,280	1.6%	12.8%	27.2%
EPS (TWD)	17.89	24.06	31.14	16.42	20.69	25.98	9.0%	16.3%	19.9%	17.62	21.45	24.74	1.5%	12.2%	25.8%
- y-o-y chg	31.0%	34.5%	29.4%	20%	26%	26%									

Source: Bloomberg consensus, HSBC estimates

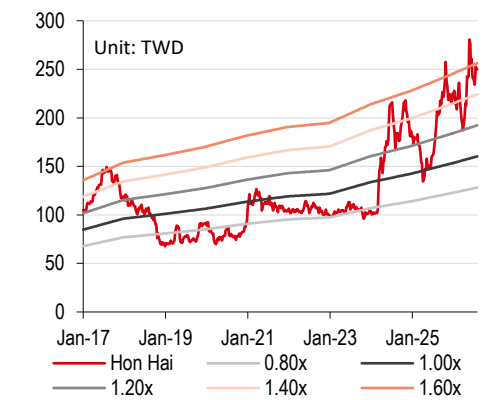
Exhibit 3. Hon Hai – quarterly earnings estimates

TWDm	2025	1Q26	2Q26	3Q26e	4Q26e	2026e	1Q27e	2Q27e	3Q27e	4Q27e	2027e	2028e
Revenue	8,103,105	2,119,533	2,525,894	2,772,272	2,921,290	10,338,990	2,438,802	3,438,027	4,816,645	4,546,315	15,239,789	19,633,023
Gross profit	498,161	130,981	154,533	167,944	177,405	630,864	146,031	192,816	274,027	265,734	878,608	1,127,491
Operating profit	259,223	75,649	94,803	101,400	104,363	376,215	89,930	110,292	163,227	156,606	520,055	670,175
Non-op income	34,222	-1,617	63	2,911	-1,089	269	-2,189	-2,189	-2,189	-3,189	-9,754	-9,754
Pretax income	293,445	74,031	94,866	104,312	103,274	376,484	87,741	108,103	161,039	153,418	510,301	660,421
Net income	189,354	49,919	59,974	69,878	68,285	248,057	57,348	70,656	105,255	100,274	333,533	431,651
EPS (TWD)	13.66	3.56	4.24	5.04	4.93	17.89	4.14	5.10	7.59	7.23	24.06	31.14
Ratios												
GPM	6.1%	6.2%	6.1%	6.1%	6.1%	6.1%	6.0%	5.6%	5.7%	5.8%	5.8%	5.7%
OPM	3.2%	3.6%	3.8%	3.7%	3.6%	3.6%	3.7%	3.2%	3.4%	3.4%	3.4%	3.4%
NM	2.3%	2.4%	2.4%	2.5%	2.3%	2.4%	2.4%	2.1%	2.2%	2.2%	2.2%	2.2%
QoQ												
Revenue		-19%	19%	10%	5%		-17%	41%	40%	-6%		
Gross profit		-15%	18%	9%	6%		-18%	32%	42%	-3%		
Operating profit		-12%	25%	7%	3%		-14%	23%	48%	-4%		
Net income		9%	18%	19%	-2%		-16%	23%	49%	-5%		
YoY												
Revenue	18%	29%	41%	35%	12%	28%	15%	36%	74%	56%	47%	29%
Gross profit	16%	30%	36%	28%	22%	27%	11%	25%	63%	50%	39%	28%
Operating profit	29%	63%	68%	44%	22%	45%	19%	16%	61%	50%	38%	29%
Net income	24%	19%	35%	21%	51%	31%	15%	18%	51%	47%	34%	29%

Source: Company data, HSBC estimates

Exhibit 4, Hon Hai – forward PE band


Source: Company data, TEJ, HSBC estimates

Exhibit 5, Hon Hai – forward PB band


Source: Company data, TEJ, HSBC estimates

Valuation and risks
Valuation
Risks to our view
Hon Hai
2317 TT
Buy

Current price:

TWD270.00

Target price:

TWD380.00

Up/downside:

+40.7%

We raise 2026/2027e EPS by 9%/16%. Our new target price is based on an unchanged target PE of 16x applied to 2027e EPS of TWD24.06 (from TWD20.69). Our target PE is 2 SD above the trading average for 2017-19, when EPS was declining at a 9% CAGR, given we now forecast Hon Hai's EPS CAGR for 2025-27 to be 31%. Our new TP implies 41% upside, and we maintain our Buy rating.

Downside risks: Potential server shipment and margin erosion for the data centre business due to intensified competition; slower ramp-up of AI servers on product design cycle and yield rate; and margin erosion on consumer products on competition.

 Priced at close of 12 Aug 2026
 Source: HSBC estimates

Disclosure appendix

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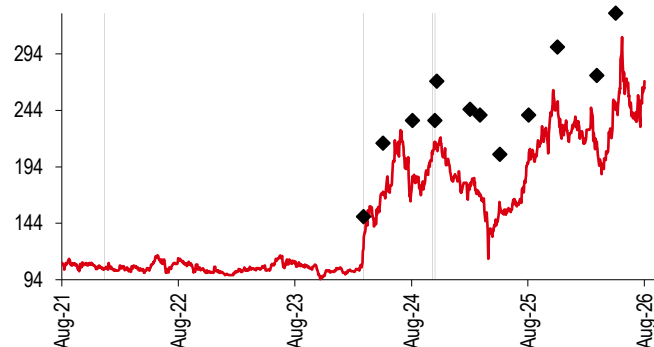
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Buy	61%	(13% of these provided with Investment Banking Services in the past 12 months)
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Share price and rating changes for long-term investment opportunities
**Hon Hai (2317.TW) share price performance TWD Vs
HSBC rating history**


Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Restricted	22 Dec 2021	Carol Juan
Restricted	Buy	14 Mar 2024	
Buy	Restricted	17 Oct 2024	
Restricted	Buy	24 Oct 2024	
Target price	Value	Date	Analyst
Price 1	Restricted	22 Dec 2021	Carol Juan
Price 2	150.00	14 Mar 2024	
Price 3	215.00	14 May 2024	
Price 4	235.00	14 Aug 2024	Carol Juan
Price 5	Restricted	17 Oct 2024	Carol Juan
Price 6	235.00	24 Oct 2024	
Price 7	270.00	30 Oct 2024	Carol Juan
Price 8	245.00	11 Feb 2025	Carol Juan
Price 9	240.00	14 Mar 2025	Carol Juan
Price 10	205.00	15 May 2025	Carol Juan
Price 11	240.00	14 Aug 2025	Carol Juan
Price 12	300.00	12 Nov 2025	Carol Juan
Price 13	275.00	16 Mar 2026	Carol Juan
Price 14	330.00	14 May 2026	Carol Juan

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
HON HAI	2317.TW	270.00	12 Aug 2026	6, 7

Source: HSBC

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- A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
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